

MINOR PROJECT – 4

Fundamental Analysis of a Listed Company Using its Annual Report

Company Selected: Hindustan Unilever Ltd



Hindustan Unilever Limited

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1. Company

I selected **Hindustan Unilever Limited (HUL)**, a major FMCG company, using its BSE listing. HUL is listed on BSE with Security Code 500696.

Item	Details
Company	Hindustan Unilever Limited (HUL)
Exchange	BSE
BSE Security Code	500696
ISIN	INE030A01027
Financial year analyzed	FY2025-26
Reporting period	1 April 2025 to 31 March 2026
Main source	HUL Integrated Annual Report 2025-26

The Reasons for choosing HUL.

HUL was chosen because it is a well-known listed FMCG company with a huge portfolio of brands with a long operating history in India. It also provides adequate monetary details for a fundamental analysis. It's a comprehensive company with business in Home Care, Beauty & Wellbeing, Personal Care and Foods.

HUL is also useful for an analysis as it provides operating information in its annual report and also detailed financial statements. This allows the examination of revenues, profits, capital utilization, leverage and cash flows – not one ratio alone.

The Integrated Annual Report 2025-26 is the latest report available for the company. According to the report, the fiscal year is 1 April 2025 - 31 March 2026.

The report contains the Board Report, Management Discussion and Analysis, standalone and consolidated financial statements, key financial ratios, cash flow statements and other disclosures.

For this assignment, the detailed analysis below mainly uses the standalone continuing-operations figures. This ensures the comparison is aesthetically more similar to HUL's standalone ratio table where Debt-Equity, ROE and ROCE are reported.

Important comparability point

During the same period, HUL demutualized its Ice Cream business. In the same period, the Ice Cream business of HUL was separated. The FY2026 ratios are based on continuing operations and the FY2025 ratios are not strictly comparable in all cases, the annual report states. Main revenue, PAT and EPS comparison below focuses on continuing operations as opposed to the profit figure for the total company (total), which includes discontinued operations.

2. Executive Summary

The sales side of the business was also a good year for HUL in FY2025-26, although with a moderate increase. For the standalone continuing business, operating revenue grew to ₹61,975 crore from ₹59,676 crore and PAT rose to ₹11,020 crore from ₹10,653 crore. The EPS from continuing operations rose from ₹45.34 to ₹46.90.

The balance sheet is still lightly leveraged. HUL's Debt-Equity ratio was 0.03x in FY2025-26 and 0.0 in FY2024-25. ROCE was 110.9%, while reported ROE rose to 31.8%. A rise in the ROE was noted in the annual report, though, it noted that the exceptional gain associated with the Ice Cream business demerger had influenced the ROE.

It's cash generation that really requires attention. The net cash generated from operating activities is ₹10,496 crore in FY2025-26 compared to ₹11,606 crore in FY2024-25. Cash also dipped by ₹3,661 crore at the end of the year from ₹5,947 crore to ₹2,286 crore, largely attributed to a hefty dividend payment by the company and investments. This does not necessarily imply declining strength for the business, but rather should be viewed in conjunction with the cash-flow movement from investing and financing activities.

One-line takeaway

HUL started off FY2026 with moderate operating growth, extremely low financial leverage, a very efficient use of capital and healthy cash generation, although the reported ROE and total profit were impacted by the Ice Cream demerger, the performance in the current financial year should be looked at independently from one-off items.

3. Financial Analysis

3.1 Revenue Growth

Revenue growth indicates the company's ability to expand the business it generates from the operations. In this report, I have used revenue from operations from the standalone statement of profit and loss.

Particulars	FY2024-25	FY2025-26	Change
Revenue from operations (₹ crore)	59,676	61,975	+₹2,299 crore
Growth rate	-	3.85%	Year-on-year

Interpretation: Revenue from operations grew by 3.85% in FY2025-26, from ₹59,676 crore to ₹61,975 crore. The growth rate is positive but moderate. The figures on the performance pages of the HUL website are also slightly different since they are based on a different scope and turnover measure, and HUL reported 5% underlying sales growth at the consolidated level of its continuing businesses. The company continued to develop, but the figures suggest it was growing rather than taking off.

3.2 Profit Growth

Profit Growth indicates whether the company is making its revenue into more profits. The PAT of the business after demerging into the Ice Cream business is a clean PAT and used to compare the current operating performance with previous year's performance.

Particulars	FY2024-25	FY2025-26	Change
PAT from continuing operations (₹ crore)	10,653	11,020	+₹367 crore
Growth rate	-	3.45%	Year-on-year

Interpretation: The PAT from continuing operations was up 3.45% at ₹11,020 crore. This is slightly below the revenue growth rate suggesting that profit didn't increase significantly compared to the growth of the business. Meanwhile, the gains indicate a higher level of profit for the continuing business in FY2026 as well.

How the total profit can mislead. Total standalone profit in FY2026 was up to ₹15,427 crore from ₹10,644 crore in FY2025, including profit from discontinued operations and a huge exceptional item related to the demerger of the Ice Cream business. I don't have used that jump as the primary indicator of recurring profit growth – as that would be a typical business-growth comparison.

3.3 Earnings Per Share (EPS)

EPS provides us to know how much profit of the related business activity is being earned out of a single equity share. It is helpful to an investor since it relates the company's earnings to the number of shares owned.

EPS	FY2024-25	FY2025-26	Change
Basic EPS - continuing operations (₹)	45.34	46.90	+₹1.56
EPS growth	-	3.44%	Year-on-year

Interpretation: The basic earnings per share (EPS) from continuing operations grew from ₹45.34 to ₹46.90, marking an increase of 3.44%. The growth in PAT from continuing operations is broadly in line with the movement. When discontinued operations are added back in, the annual report also reports a much higher EPS, but this will be influenced by the demerger-related one-off gain and is therefore not the best number to use to test the reoccurring earning power.

3.4 Debt-Equity Ratio

Debt-Equity ratio is defined as the ratio of the company's debt and the shareholders' equity. This ratio is lower, the less reliance the company places on borrowed money for its operations. The ratio can be found directly in HUL's key financial ratios table.

Ratio	FY2024-25	FY2025-26	Comment
Debt-Equity (times)	0.0	0.0	Very low reported leverage
Interest coverage (times)	100.5	109	Strong ability to cover interest
Current ratio (times)	1.3	1.2	Liquidity remains above 1x

Interpretation. In both the years, the HUL Debt-Equity ratio was 0.0 times. In the business vocabulary, they're carrying virtually no “real” financial obligations compared to the amount of equity. This reduces the pressure on the interest and refinancing. The company does have lease liabilities, but the annual report's reported Debt-Equity ratio is calculated using total debt as per the Debt-Equity ratio and is presented as 0.0 times.

3.5 Return on Equity (ROE) and Return on Capital Employed (ROCE)

ROE is a measure of return generated on the funds invested by the shareholders. ROCE focuses on the profitability of the capital invested in the business by the company. These ratios are particularly useful in determining the efficiency in which the large established firm of the capital employed.

Ratio	FY2024-25	FY2025-26	Movement
ROE / Return on Net Worth	21.2%	31.8%	+10.6 percentage points
ROE excluding demerger exceptional gain	-	22.4%	Annual report disclosure
ROCE	108.2%	110.9%	+2.7 percentage points

ROE interpretation. The reported ROE improved sharply to 31.8%. However, HUL itself explains that this increase is mainly because of the exceptional gain arising from the Ice Cream business demerger. The report says that without this exceptional gain, ROE would have been 22.4%. So, 31.8% should not be treated as the normal recurring return of the business.

ROCE interpretation. ROCE increased from 108.2% to 110.9%. This is a much smaller movement than the ROE jump and therefore gives a cleaner picture of capital efficiency. The level is high, which fits with HUL's low-debt structure and strong operating profitability. The annual report defines ROCE using EBIT divided by capital employed.

3.6 Cash Flow Analysis

Profit tells us what the company earned on an accounting basis: Cash flow is the true amount of cash that has been generated and spent. Particularly for an investment analysis, this is significant as a thriving company still requires cash flow to run the business, invest, and make a return.

Cash flow item (₹ crore)	FY2024-25	FY2025-26	Change
Net cash from operating activities	11,606	10,496	-9.56%
Net cash from investing activities	6,763	-3,473	Shifted to net outflow
Net cash used in financing activities	-13,031	-10,684	Outflow remained high
Net increase / (decrease) in cash	5,338	-3,661	Turned negative
Closing cash and cash equivalents	5,947	2,286	-61.6%

Operating cash flow: The net cash generated from operations decreased by 9.56% to ₹10,496 crore. Despite this reduction, the company has still been able to generate operating cash flow of over ₹10,000 crore, indicating that the core business is still able to generate significant cash.

Investing cash flow: The cashflow of investing turned into a loss of ₹3,473 crore as against profit of ₹6,763 crore earlier. Investments (purchases of current investments, investment in subsidiaries, property, plant and equipment and other investments) are shown on the annual report. This outflow is not just cash loss, but also cash being utilized on investments and business asset.

Financing cash flow: Financing cash flow was negative due to the large dividend paid by HUL and the lease-related payments. The standalone cash flow statement shows that dividend of about ₹10,103 crore was paid during FY2026. This accounts for much of the decrease in cash balance.

Overall cash position: As of the end of the year, it had ₹5,947 crore in cash and cash equivalents, but by the end of the year, cash and cash equivalents had dropped to ₹2,286 crore. Whilst the fall is large as a percentage (61.6%), this should always be considered alongside the ongoing operating cash generation, investments and shareholder distributions of the company.

Cash Generating Machine is a term used for HUL. For the year, the cash from operation was ₹10,496 Crores. Trailing profits are approximately 73% operating cash. They have a robust cash conversion cycle, consistently allowing them ample cash to invest in the business or pay out dividends to shareholders.

4. Consolidated Cross-Check

As part of the HUL performance highlights, consolidated turnover for FY2025-26 showed an increase of approximately 5.3% from FY2024-25, with the consolidated turnover amounts standing at ₹63,763 crore and ₹60,573 crore, respectively. The PAT from the continuing operations was consolidated at ₹10,652 crore as compared to ₹10,680 crore, nearly level. These figures are provided as a secondary check but the primary calculations in this report are based on the standalone statement for consistency with the standalone ratio table.

Consolidated continuing-business measure	FY2024-25	FY2025-26	Growth
Turnover (₹ crore)	60,573	63,763	5.27%
PAT (₹ crore)	10,680	10,652	-0.26%

5. Strengths and Weaknesses

5.1 Strengths

Strength	Explanation
1. Very low financial leverage	HUL reports a Debt-Equity ratio of 0.03 times. This means the company is not heavily dependent on borrowing for its operations. It also reduces the direct pressure of interest payments and refinancing risk.
2. Strong capital efficiency and cash generation	ROCE stood at 110.9%, and operating cash flow remained above ₹10,000 crore even after declining year-on-year. The combination of high capital efficiency, low debt and positive operating cash generation is an important financial strength.

5.2 Weaknesses

Weakness	Explanation
1. Revenue growth is moderate	Standalone revenue from operations grew by about 3.9% in FY2026. For a large mature FMCG company, this points to steady rather than rapid expansion, so future growth will depend on volume growth, pricing, premiumization and market demand.
2. Operating cash flow and closing cash declined	Operating cash flow fell by about 9.6%, and year-end cash was much lower than the previous year. Although dividends and investment outflows explain a significant part of the movement, the decline means cash conversion deserves attention.

6. Investment Perspective from the Financials

When we look at the numbers in the annual report HUL, it shows a clear financial picture. HUL's sales and profit from continuing business have gone up. HUL's debt is very low. HUL's ROCE is high. HUL's operating business still produces a lot of cash. These are the financial factors that can support long-term value creation.

At the time the report does not show that every number moved strongly in the same direction. HUL's revenue growth was moderate. HUL's operating cash flow fell. HUL's reported ROE was boosted by a one-off demerger gain. That means a student analysis should not take the FY2026 profit jump or the 31.8% ROE at face value without reading the notes.

For an investor the next thing to watch is whether HUL can improve volume growth keep margins steady keep generating more than ₹10,000 crore of operating cash and keep capital allocation disciplined. This report does not give a buy or sell recommendation because the assignment focuses on analysis from the annual report not on valuation-based investment advice.

7. Final Financial Snapshot

Metric	FY2024-25	FY2025-26	What it tells us
Revenue from operations (₹ Cr)	59,676	61,975	Core operating revenue grew
PAT - continuing operations (₹ Cr)	10,653	11,020	Core profit increased modestly
Basic EPS - continuing operations (₹)	45.34	46.90	Earnings per share improved
Debt-Equity (x)	0.0	0.0	Very low leverage
ROE / RONW	21.2%	31.8%	Headline ROE rose, but FY26 is affected by demerger gain
ROCE	108.2%	110.9%	Capital efficiency remained high
Operating cash flow (₹ Cr)	11,606	10,496	Still strong, but lower than FY25

8. Conclusion

Hindustan Unilever Limited presents a financially strong but relatively mature business profile in FY2025-26. The company grew revenue and profit from continuing business. Hindustan Unilever Limited kept a Debt-Equity ratio of 0.0 times. Reported a ROCE of 110.9%. HUL's operating cash generation stayed high even though it fell from the year.

The biggest lesson from the report is that headline numbers should always be read with their notes. HUL's FY2026 ROE jump to 31.8% was mainly influenced by the Ice Cream demerger. The total profit jump also includes discontinued-operation effects. After removing these one-off items the core picture is more balanced: revenue growth, modest profit growth, strong capital efficiency, low leverage and healthy operating cash generation but cash generation is slower, than the previous year.

Overall, the annual report shows evidence to say that HUL has a stable financial base but the investment case still depends on how well HUL turns its scale and brand strength into sustained underlying growth and cash flow.

9. Sources Used

1. HUL Integrated Annual Report 2025-26:

<https://www.hul.co.in/files/annual-report-2025-26.pdf>

2. HUL Financial Performance - FY2025-26:

<https://hul-performance-highlights.hul.co.in/performance-highlights-fy-2025-2026/performance/financial/>

3. BSE corporate filing / HUL security code:

<https://m.bseindia.com/MAnnDet.aspx?Form=STR&newsid=42f6cd54-8270-4aac-bbc7-cdb69322f5fd&scrpcd=500696>

4. NSE Integrated Filing - FY2025-26:

https://nsearchives.nseindia.com/corporate/ixbri/INTEGRATED_FILING_INDAS_155079_30042026210444_iXBRL_WEB.html